

challenging and, at times, inescapable loop.

BYJU'S, FOR INSTANCE, faces a current crisis rooted in its \$1.2 billion Term Loan B (TLB), secured during the peak of its 2021 growth to support an aggressive acquisition spree. Post-pandemic, as growth slowed and equity became scarce, the anticipated equity rounds failed to materialise, entangling the company in the consequences of its high-risk gamble. Today, the company has put two key assets, Epic and Great Learning, up for sale to raise cash and settle this loan. Similarly, PharmEasy, the e-pharmacy unicorn, borrowed \$285 million from Goldman Sachs in August 2022 to pay off an earlier debt incurred from Kotak Mahindra



“Heavy reliance on high-risk debt without a clear plan for future financing or profitability may deter investors from future funding rounds”

ANKUR BANSAL
CO-FOUNDER AND DIRECTOR,
BLACKSOIL

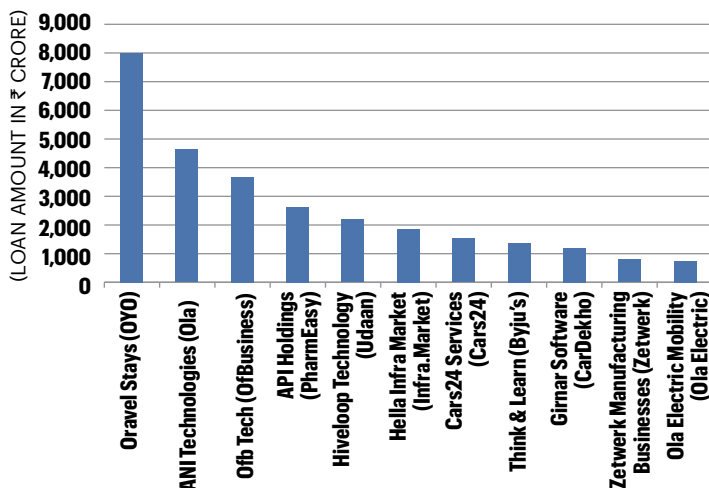
Bank to bankroll its \$612-million acquisition of Thyrocare. However, after its fundraising efforts failed and its IPO had to be postponed, the company was compelled to conduct a rights issue at a valuation of \$500-\$600 million, significantly lower than its peak valuation of \$5.6 billion, in order to pay back the debt. In both cases, the start-ups breached loan covenant terms, leading to an escalated debt crisis.

“In general, start-ups should avoid debt because the only sustainable way to service and repay debt is from your cash flows. Since most start-ups are unprofitable, I don’t see how they can repay debt. If you are a large, profitable start-up, debt is an excellent, non-dilutive source of capital. But if you are loss-making like most start-ups, you are just adding on risk you have little control

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UNICORNS WITH HIGHEST DEBT

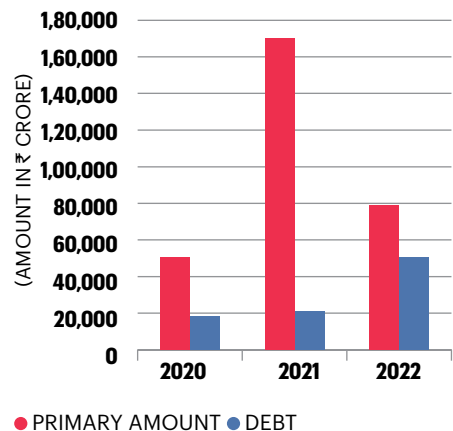
- Instruments like term loans offer more flexibility than traditional loans but pose refinancing risk
- Convertible notes protect start-up valuations and assist investors in fair pricing for new rounds



NOTE AMOUNT INCLUDES LOANS TAKEN FROM BANKS, NON-BANKING FINANCIAL COMPANIES (NBFCs), INDIVIDUALS AND VENTURE DEBT DURING 2019-2022; BRAND NAMES IN BRACKETS; NOT ALL UNICORNS HAVE FILED AUDITED FINANCIALS FOR THE FISCAL YEARS FY21, FY22, AND FY23. THEREFORE, THE DEBT FIGURES ARE BASED SOLELY ON AVAILABLE DATA **SOURCE** MCA AND BT RESEARCH

DEALING WITH DEBT

- Debt repayment obligations can restrict cash flow, impeding a start-up's investment in growth and overall competitiveness
- VCs view debt as a disciplining force for profitable start-ups, with monthly repayments fostering operational rigour



NOTE TOTAL DEBT AND PRIMARY AMOUNT RAISED BY 115 UNICORNS; FUNDRAISES BY FLIPKART NOT INCLUDED. IPO DEALS BY UNICORNS ARE EXCLUDED **SOURCE** PRIVATECIRCLE RESEARCH